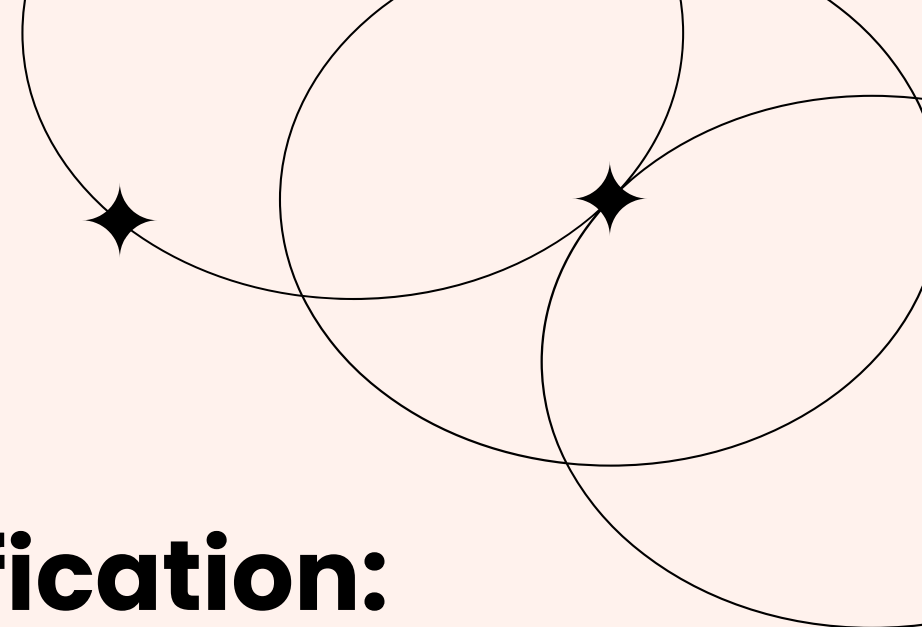


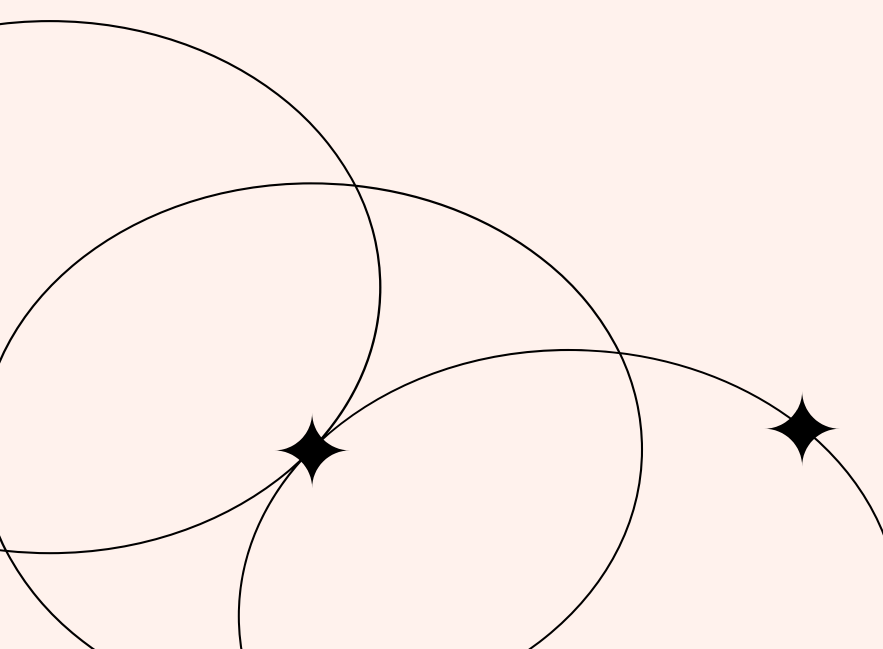


Trade Agreements and Strategic Market Diversification: A Decision Framework for Indian Apparel Buying Houses

Graduation Project at:

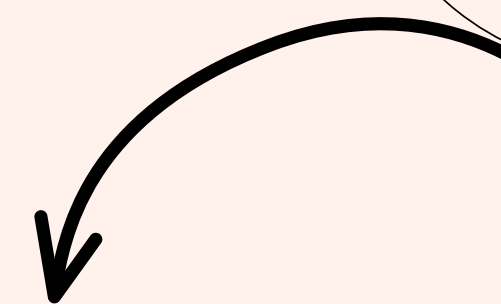
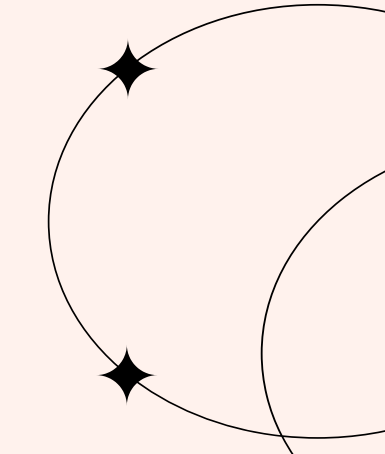
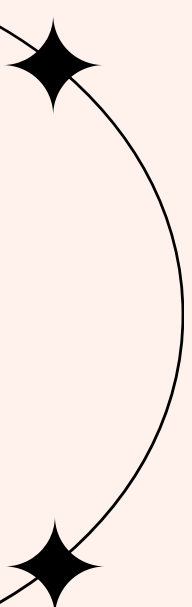
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Submitted by: Astha Singh, MFM/24/399



Background & Research gap

- High dependence on US market (industry + firm level)
- Tariff volatility impacting order flows
- Strong reliance on long-term buyer relationships
- Government push through FTAs (Australia, UK, EU)
- Increasing uncertainty in sourcing decisions
- No structured framework for buying houses
- Decisions remain reactive
- Concern around long-term sustainability



Diversification should be an evidence based strategic decision rather than a reactive response to Tariffs or market fluctuations

Problem Statement

When should buying houses diversify, and how can this be evaluated systematically?

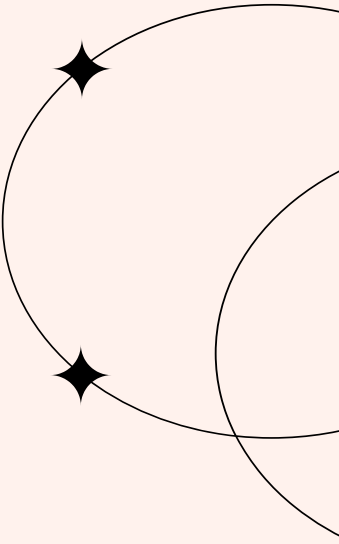
Primary Objective:

To develop a structured decision-making framework that evaluates when market diversification becomes strategically justified for Indian apparel buying houses in the context of evolving trade agreements and export market dynamics.

Secondary Objectives:

- To analyse the impact of recent trade agreements on India's tariff competitiveness in key apparel export markets.
- To examine the extent of export market and buyer concentration in the Indian apparel sector.
- To assess the risks associated with concentration and the operational constraints affecting diversification.
- To construct a model that integrates risk, opportunity, and cost considerations into a unified decision-making framework.

Research Methodology



This study adopts an exploratory mixed-method research design, combining secondary data analysis with qualitative primary research, with thematic analysis used to interpret key patterns and insights

Secondary data sources:

- ITC TradeMap (DGCIS), WTO, UN Comtrade, DGFT.
- Industry reports (Wazir Advisors, AEPC, IBEF)
- Comparative pattern analysis using trade and tariff data.

Primary Research

- 4 semi-structured interviews
- Purposive sampling of key informants.
- Decision-making roles within buying house

Secondary data findings

India’s Apparel Export Base:

- Total exports: ~USD 15.7 billion (2024)
- Moderate growth (~5% CAGR, 2020-24)
- No strong acceleration in export performance
- Stable but not high-growth industry
- Limited organic expansion potential

Category	HS Code	Export Value 2024 (USD Billion)	4-Year CAGR 2020–24 (% p.a.)	Single Year Growth 2023–24 (%)
Knitted apparel and accessories	HS 61	7.53	2%	13%
Woven apparel and accessories	HS 62	8.19	7%	5%
Total	HS 61 + 62	15.72	~5% (weighted avg)	~9% (weighted avg)

Table 3.1: India's Total Apparel Exports by HS Chapter, Calendar Year 2024

India's Apparel Export Concentration by Key Market, 2024

Market Dependency supported by Export Concentration.

- United States: 33% share
- EU + UK combined significant
- Top markets account for ~68% of exports
- High dependence on limited markets
- Structural exposure to external shocks

Destination	Classification	Combined HS61+62 (USD Mn)	Share of Total (%)	Duty Faced by India (Pre-FTA)	FTA Status
United States	Single country	5,181.4	33.0%	10.7–14.3%	No FTA in place
EU (9 members) [Author calc]	Aggregate	4,115.6	26.2%	9.2–9.4%	Concluded Jan 2026
United Kingdom	Single country	1,407.2	9.0%	9.2–9.4%	Signed Jul 2025
UAE	Single country	1,223.1	7.8%	5.0%	CEPA May 2022
Australia	Single country	344.2	2.2%	~4.8%	ECTA Dec 2022
US + EU + UK [Composite]	Author calc	10,704.2	68.1%	Various	Multiple
TOTAL	World total	15,718.3	100.0%	—	—

Pre-FTA Duty Comparison, India vs Bangladesh vs Vietnam in Key Export Markets

Tariff Comparison

- India faces higher duties vs competitors
- Bangladesh: duty-free (EU, UK)
- Vietnam: FTA-driven reductions
- India disadvantaged in price-sensitive segments
- Weak price competitiveness
- Buyer sourcing shifts influenced by tariffs

Market	India's Duty (Pre-FTA)	Bangladesh's Duty	Bangladesh Basis	Vietnam's Duty	Vietnam Basis	India's Disadvantage vs Bangladesh
USA	10.7–14.3% (MFN)	~15.6% (MFN)	No preferential access	10.7–15.7% (MFN)	No US-Vietnam FTA	None, all three on MFN
EU	9.2–12.0%	0%	EU Everything But Arms (LDC preference)	0–4%, phasing to 0%	EVFTA in force Aug 2020	9–12 percentage points, decisive in price-sensitive categories
UK	9.2–9.4%	0%	UK Developing Countries Trading Scheme	MFN (no UK-Vietnam FTA)	No UK-Vietnam FTA	~9 percentage points, Bangladesh systematically price-competitive
Australia	~4.8%	MFN (no Aus-Bangladesh FTA)	No preferential arrangement	0%	AUSFTA in force	India disadvantaged vs Vietnam; at parity with Bangladesh pre-ECTA

Emerging Opportunities

Impact of FTAs

- Australia: 0% duty (immediate advantage)
- UK: phased tariff elimination
- EU: long-term zero-duty potential
- US: no structural change
- Opportunities exist but uneven across markets
- Timing and accessibility vary

Market	India's Post-FTA Duty	Effective From	Key Competitive Change for India
Australia	0%	December 2022 (ECTA)	Parity with Vietnam (AUSFTA); advantage over Bangladesh (still MFN)
United Kingdom	0%	July 2025 (FTA signed)	Parity with Bangladesh (DCTS); advantage over Vietnam (no UK-Vietnam FTA)
European Union	0%	~2027 (ratification ~1 year from Jan 2026)	First time at zero, parity with both Bangladesh (EBA) and Vietnam (EVFTA)
United States	MFN unchanged	No FTA	No structural change from FTA; tariff escalation in 2025 affected all countries

Secondary Research: Key Insights

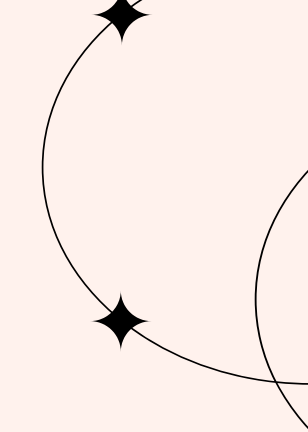
Firms face simultaneous risk and opportunity, but require a structured way to decide when diversification becomes necessary

- High dependency on limited markets → Risk Pressure
- Tariff disadvantage vs competitors → Strategic Urgency
- Emerging FTAs → Opportunity Signals
- Uneven access across markets → Diversification Cost

Primary Research Findings

- United States accounts for ~70-80% of firm-level revenue
- Order volumes can decline by 50-60% during market disruptions
- Revenue being concentrated among a small number of key buyers
- Buyers influence pricing, sourcing, and decision timelines. They hold the power in sourcing decisions.
- Loss of an existing buyer is perceived as a major risk
- Focus shifts back to existing buyers when stability returns
- Entry into new markets is time and resource intensive.

Diversification Threshold Model



Three Key Dimensions

- **Risk Pressure (RP)** → Market & buyer dependency
 - **Opportunity Signal (OS)** → Trade agreements & market potential
 - **Diversification Cost (DC)** → Time, resources, operational effort
- 

**Strategic
Diversification**

**Phased
Diversification**

**Opportunistic
Expansion**

**Deferred
Diversification**

RISK PRESSURE

Score	Revenue from Single Market (%)	Revenue from Top Buyers (%)	Interpretation
1	<20%	<40%	Well diversified
2	20–34%	40–55%	Moderate exposure
3	35–59%	55–70%	Noticeable dependency
4	60–74%	70–80%	High exposure
5	≥75%	≥80%	Critical dependence

OPPORTUNITY SIGNAL

Score	Tariff Position & FTA Status	Interpretation
1	>10% disadvantage, no FTA	No viable opportunity
2	6–10% gap, early discussions	Monitor only
3	2–6% gap, negotiations ongoing	Prepare, not enter
4	Near parity, FTA signed	Entry window opening
5	Zero duty, FTA active	Strong entry case

DIVERSIFICATION COST

Score	Time & Effort Required	Interpretation
1	>24 months, very high effort	Not feasible now
2	18–24 months, high effort	Significant commitment
3	12–18 months, moderate effort	Requires prioritisation
4	6–12 months, manageable effort	Feasible with planning
5	<6 months, minimal effort	Easy implementation

DIVERSIFICATION THRESHOLD SCORE

$$\text{DTS} = (\text{RP} \times 0.45) + (\text{OS} \times 0.35) + (\text{DC} \times 0.20)$$

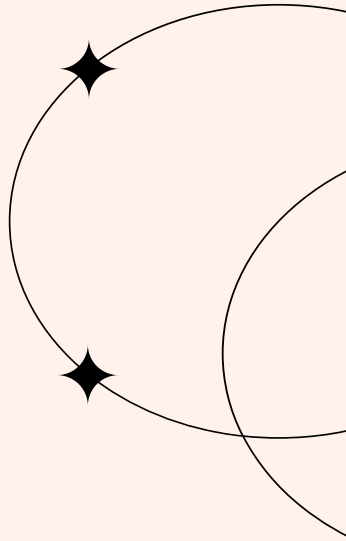
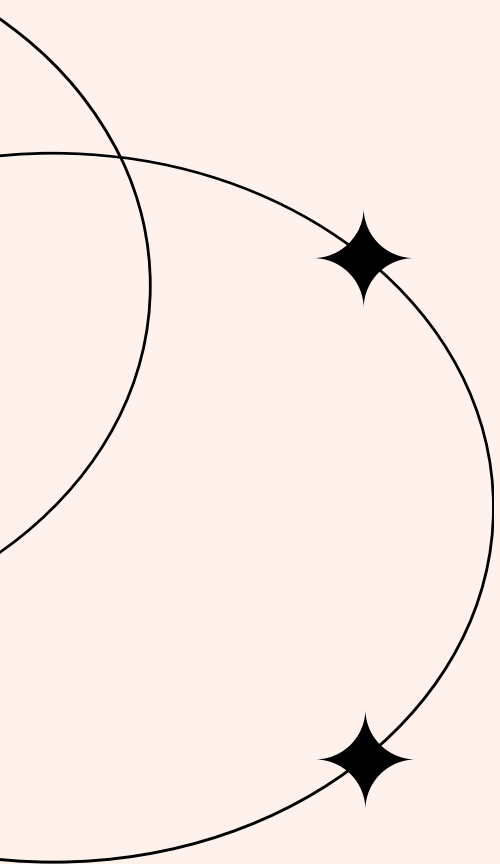
DTS Range	Strategic Outcome	Interpretation
4.0 – 5.0	Strategic Diversification	Immediate diversification strongly justified
3.2 – 3.9	Phased Diversification	Diversification recommended on a staged basis
2.4 – 3.1	Opportunistic Expansion	Selective exploratory expansion is appropriate
1.6 – 2.3	Deferred Diversification	Maintain concentration while monitoring
1.0 – 1.5	Maintain Existing Structure	Diversification not strategically justified

Application of the model

Market	RP	OS	DC	DTS	Outcome
United States	5	2	4	3.75	Phased Diversification
Australia	5	5	4	4.80	Strategic Diversification
United Kingdom	5	4	3	4.25	Strategic Diversification
European Union	5	3	2	3.70	Phased Diversification

Key Findings & Conclusion

- High dependence on limited markets increases vulnerability
- External shocks can cause sharp and immediate disruption
- Buyer concentration limits strategic flexibility
- New opportunities exist but vary in accessibility
- Diversification becomes strategically important under sustained high-risk conditions
- Timing and feasibility are critical to decision-making
- Strategic decisions must balance risk, opportunity, and cost



Thank You